LoanBazaar®

Secure Distribution Venture Pvt. Ltd.

WHAT IS OVERDRAFT (OD) FACILITY?

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Chapter 1: Product Overview & Historical Context of Overdraft Facilities in India

The Overdraft (OD) facility represents one of the most fundamental, versatile, and commercially viable revolving working capital products in the global banking ecosystem, with an incredibly robust and structured legacy in the Indian financial landscape. Conceptually, an Overdraft facility is a revolving credit agreement linked directly to a borrower's commercial current account. Rather than disbursing a lump-sum loan amount upfront, the bank sanctions a pre-approved borrowing limit (or cap) under which the account holder is legally permitted to overdraw their balance. In essence, the borrower's current account balance is allowed to dip below zero, creating a negative balance up to the sanctioned limit. Interest is computed on a daily reducing balance basis, charged strictly on the net negative outstanding amount on any given day, rather than the sanctioned limit itself. This unique on-demand liquidity makes Overdrafts an exceptionally cost-effective instrument for managing temporary, cyclical, or seasonal cash-flow mismatches.

Historically, the concept of the bank overdraft can be traced back to the early 18th century, originating with the Royal Bank of Scotland in 1728 under the leadership of its pioneering cash-credit system, which allowed merchants to draw more than their deposited reserves to fund shipping and trade cycles. In India, revolving credit evolved in tandem with the growth of modern joint-stock banking during the British colonial era. Historically, trade financing in India was dominated by native banking networks operating through 'Hundis'—indigenous, community-backed bills of exchange that functioned as trust-based promissory or deferred-payment drafts. As Western-style commercial banking emerged with the Presidency Banks (Bank of Bengal, Bank of Bombay, and Bank of Madras), the formal credit system adapted. In the early 20th century, the Presidency Banks introduced formalized 'revolving cash accounts' and current account overdrafts to finance colonial export-import trades, particularly cotton, jute, and spices.

Following India's independence and the subsequent nationalization of commercial banks in 1969 and 1980, the Reserve Bank of India (RBI) undertook systemic reforms to regulate and direct credit delivery. To eliminate arbitrariness in working capital allocations, the RBI constituted several landmark committees. The Tandon Committee (1974) and the Chore Committee (1979) established the formal architecture of working capital assessment in India, introducing the concept of Maximum Permissible Bank Finance (MPBF) and projecting the core operational guidelines for revolving limits. Over the next several decades, as India transitioned into a digitized financial powerhouse, the Overdraft facility underwent a structural mutation. What began as a manual, highly discretionary, paper-intensive credit limit evaluated by a branch manager has evolved into an instant, API-driven, algorithmic fintech product. Today, through automated credit appraisal engines, instant digital banking suites, and the robust integration of Central Bureau data and the Account Aggregator framework, banks and Non-Banking Financial Companies (NBFCs) can sanction and activate pre-approved Overdraft limits within seconds directly alongside UPI merchants and digital payment gateways.

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Chapter 2: Structural Mechanics: Secured vs. Unsecured Overdraft Structures

In modern Indian banking practice, Overdraft facilities are structurally commercialized across a diverse product spectrum, primarily categorized into Secured Overdrafts and Unsecured (or Clean) Overdrafts. This classification dictates the underwriting intensity, the interest rate spreads, the required documentation, and the ultimate recovery mechanism in the event of default.

Secured Overdrafts are credit lines backed strictly by the pledge, hypothecation, or mortgage of tangible collateral or high-liquidity financial assets. Because the lender possesses a direct, enforceable lien over the underlying asset, secured lines represent low-risk exposures, translating into lower interest rates (often just 1.0% to 2.5% over the underlying cost of funds) and simplified underwriting loops. The most common sub-variants include:

1. Overdraft against Fixed Deposits (OD against FD / LFD): The most common and secure revolving capital product. Lenders typically extend an OD limit representing 85% to 95% of the face value of the active fixed deposit. The interest rate is contractually capped at 1.0% to 2.0% above the FD's prevailing yield. Since the funds are already within the bank's custody, the onboarding process is entirely instant, digitized, and requires zero financial ratio analysis or tax returns.
2. Overdraft against Financial Securities (OD against Shares/Mutual Funds/LIC): Also known as Loan against Securities (LAS). Lenders establish a dynamic limit based on the market valuation of the borrower's equity shares, debt or equity mutual funds, or the surrender value of Life Insurance Policies. To safeguard against capital market volatility, the RBI mandates strict regulatory haircuts: equity shares generally attract a minimum 50% margin (meaning the borrower secures an OD limit of up to 50% of market value), while debt mutual funds and sovereign bonds enjoy lower haircuts ranging from 10% to 20%.
3. Overdraft against Property (ODAP): Backed by the equitable mortgage of residential, commercial, or industrial real estate. Lenders typically offer limits up to 50% to 65% of the property's appraised market value. It serves as a long-term revolving liquidity pool for medium and large enterprises, usually reviewed annually.

Conversely, Unsecured Overdrafts—frequently designated as Clean Overdrafts or Business Overdrafts—are credit lines extended without any physical or financial collateral. These limits are sanctioned strictly based on the borrower's cash-flow stability, operational track record, debt-service coverage metrics, and historical credit behavior. Because these exposures lack asset backing, they present higher credit risks for the bank, resulting in significantly higher interest rates (ranging from 12% to 18% p.a. as opposed to 7% to 9.5% for secured lines). Underwriting engines execute deep, programmatic audits of the borrower's bank account statements, tax filings, and GST returns to verify consistent sales credits before sanctioning a revolving clean line.

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Chapter 3: Overdraft (OD) vs. Cash Credit (CC) – The Definitive Taxonomy

A frequent source of conceptual confusion for finance rookies is the distinction between an Overdraft (OD) facility and a Cash Credit (CC) facility. While both are fund-based, revolving, transaction-backed working capital products that operate within a current account environment, they serve structurally distinct purposes, require different collateral profiles, and are subject to unique regulatory underwriting regimes. The following comparative taxonomy outlines these core operational and credit differences in detail:

The primary operational distinction lies in the credit base and monitoring requirement. A Cash Credit facility is a dedicated, specialized working capital line extended strictly to trade and manufacturing entities. It is secured against the hypothecation of current assets, specifically inventory (raw materials, work-in-process, finished goods) and book debts (accounts receivable). Consequently, a CC borrower is contractually mandated to submit a detailed Stock and Debtors Statement on a monthly basis. The bank's credit system dynamically calculates the active Drawing Power (DP) by applying safety margins (usually 25% on inventory and 40% on debtors) to the active value of these current assets. On any given day, the borrower's borrowing capacity is strictly capped at the lower of the sanctioned credit limit or the calculated DP.

In contrast, an Overdraft facility is a broader financial tool used by traders, service providers, salaried professionals, and individuals alike. It is typically backed by fixed assets, financial instruments, or operates as a clean cash-flow-linked facility. Because it is not tied directly to high-velocity current assets like raw materials or work-in-progress, an Overdraft borrower is exempt from submitting monthly stock and debtors statements. The Drawing Power of an Overdraft facility is fixed at the time of sanction based on the collateral's value (e.g., 90% of a Fixed Deposit or 60% of real estate) and remains static throughout the limit's tenure, unless a major valuation adjustment is executed. Understanding this taxonomy is vital for corporate treasurers to select the correct financing structure to optimize their liquidity profile and minimize operational compliance friction.

Table 3.1: Systematic Comparison of Overdraft (OD) vs. Cash Credit (CC)

Operational Parameter	Overdraft (OD) Facility	Cash Credit (CC) Facility
Target Segment	Traders, service providers, retailers, individuals, and professionals.	Manufacturing, production, and trading companies with inventory pipelines.
Primary Security	Tangible property, fixed deposits, securities, or cash flows (Clean).	Hypothecation of current assets (stock-in-trade and book debts).
Drawing Power Basis	Static: Fixed based on asset value (e.g., FD or property valuation) at sanction.	Dynamic: Computed monthly based on active stock and debtors statements.

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Compliance Requirements	Minimal: Exempt from monthly inventory audits and stock reporting.	High: Contractual mandate for monthly stock and debtors submissions.
Interest Pricing Spread	Higher for clean limits, highly competitive for secure lines against financial assets.	Standardized commercial banking rates linked directly to EBLR / MCLR.
Account Linkage	Linked to standard business current accounts or personal accounts.	Operates in a dedicated Cash Credit account strictly for business.
Utilization Period	Short-term to long-term (generally reviewed and renewed annually).	Strictly structured 12-month revolving limit subject to quarterly checks.

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Chapter 4: Underwriting Standards, Eligibility Criteria & Financial Ratios

The credit appraisal of an Overdraft facility involves a meticulous evaluation of the borrower's financial viability, debt-servicing capacity, and operational credibility. For Secured Overdrafts, particularly those backed by highly liquid financial assets like Fixed Deposits or Sovereign Gold Bonds, the underwriting loop is streamlined and automated. The primary credit criterion is the verification of the asset's active status, its clean legal title, and the absence of any prior third-party liens or encumbrances. Financial statement analysis, credit bureau score requirements, and debt-to-income (DTI) calculations are virtually waived, as the bank maintains absolute custody of the collateral.

Conversely, for Unsecured Overdrafts and property-backed lines, underwriters execute a comprehensive credit appraisal of the business's balance sheet. The key eligibility metrics include:

• Business Vintage: A minimum operational existence of 3 to 5 years under the same promoter/management is standard in Indian banking practice, verified via GST registration certificates, shop-and-establishment licenses, and Income Tax Returns (ITRs).

• Financial Turnover & Profitability: Lenders look for minimum annual revenue starting at ₹25 Lakhs to ₹1 Crore depending on the bank. The business must demonstrate continuous, audited profitability over the prior 2 years.

• Credit Score Benchmarks: A robust personal CIBIL score of the promoters (minimum 700 to 750) and a high CIBIL MSME Rank (CMR 1 to CMR 4) are non-negotiable prerequisites. High delinquency indicators (e.g., past-due balances, written-off accounts, or multiple recent credit inquiries) will trigger automatic rejection by underwriting models.

In addition to qualitative factors, credit risk analysts scrutinize several key financial ratios to assess solvency and debt-service capacity. The **Current Ratio** is calculated to verify short-term liquidity, with a standard benchmark of 1.33:1 or higher considered satisfactory. The **Debt-Service Coverage Ratio (DSCR)** is evaluated to ensure the business's net operating income can comfortably service all term loans and revolving interest burdens, with a minimum acceptable DSCR of 1.25x. Lenders also compute the **Debt-to-Equity (D/E) Ratio** (preferring a leverage position of less than 2:1 to 3:1) and inspect the **Interest Coverage Ratio**, which measures the cushion between Earnings Before Interest and Tax (EBIT) and interest expenses. Finally, bank statement analysis programmatically monitors the average monthly balance, check-bounce frequencies, and the consistency of digital receipts via merchant portals.

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Chapter 5: Legal Framework, Security Hypothecation & Asset Pledge Covenants

Revolving credit facilities in India operate within a tight legal and statutory matrix established by commercial legislation and central bank directives. The legal framework ensures that the financier can create and enforce a watertight charge over the security, preventing systemic double-financing and securing recourse in the event of default.

The creation of a charge over assets is governed by two distinct legal concepts depending on the security's nature:

• Hypothecation: Regulated under the **Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest (SARFAESI) Act, 2002**, and Section 172 of the Indian Contract Act, 1872. Hypothecation is a legal transaction where a borrower creates a charge over current or movable assets (such as machinery or receivables) in favor of the lender, while retaining physical possession of the asset. The borrower operates the asset in the normal course of business but holds it in trust for the bank.

• Pledge: Regulated under Section 172 of the Indian Contract Act, 1872. A pledge involves the actual or constructive transfer of physical or legal possession of the asset to the lender. For instance, in an Overdraft against Fixed Deposits or gold, the physical FD receipt or physical gold is physically locked in the bank's custody, and a lien is programmatically marked on the core banking system, preventing any redemption by the borrower without the bank's explicit clearance.

To prevent fraudulent dual financing—where a dishonest borrower pledges the same asset to secure loans from multiple banks—the Central Government established the **Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI)** under the SARFAESI Act. Lenders are legally mandated to register the creation, modification, or satisfaction of any security interest (including hypothecated book debts, physical inventory, or mortgaged real estate) on the CERSAI portal within a **strict 30-day statutory window**. Any delay or failure to register not only exposes the bank to regulatory penalties from the RBI but also compromises its legal seniority over the asset if another creditor registers a charge first. Furthermore, under the **Companies Act, 2013 (Section 77)**, company borrowers must additionally file Form CHG-1 with the Registrar of Companies (ROC) within 30 days of charge creation to ensure a watertight legal fortress around the credit line.

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Chapter 6: Market Sizing, Suitable Industries & Corporate Business Profiles

The Overdraft facility serves as the foundational credit instrument across diverse sectors of the Indian economy, driving commercial growth across both high-velocity retail networks and complex manufacturing chains. According to credit landscape reports (such as CRIF High Mark and SIDBI's MSME Pulse), revolving credit facilities represent over **55% of the total fund-based credit outstanding** in the MSME sector, showing a resilient compounded annual growth rate of 14.3% YoY. This dominance is driven by festive-season demand, rising disposable incomes, and the expansion of the digital commerce footprint.

Specific industries and business profiles are exceptionally suited for Overdraft integration:

• Retail & Wholesale Traders: Retail merchants face massive seasonal working capital spikes, particularly during major festive cycles (e.g., Diwali or Eid). An Overdraft line allows them to aggressively lift inventory weeks in advance to capture festive demand, and then rapidly liquidate the credit line as cash receipts pour in daily.

• Services and Professional Firms: Service-sector entities (such as consulting firms, edtech startups, and medical professionals) operate with low physical inventory but significant overheads (such as payroll and rent) that must be settled on fixed calendar dates. An Overdraft line bridges the gap between raising service invoices and the actual receipt of payments, which may take 30 to 90 days.

• Seasonal Manufacturing Units: Industries like sugar refining, agro-processing, and tea packaging experience high-intensity raw material procurement cycles concentrated within a few months of the year, while sales are distributed evenly over twelve months. The Overdraft's flexible drawing structure is ideal for funding these high-volume seasonal inventory spikes without saddling the enterprise with idle interest costs during off-season months.

In the institutional banking ecosystem, Public Sector Banks (PSBs), led by the **State Bank of India (SBI)**, maintain the largest market share in high-ticket, real-estate-backed Overdrafts (such as Vyapar limits and Rent Overdrafts). In contrast, private sector giants (such as HDFC Bank and ICICI Bank) and agile Non-Banking Financial Companies (NBFCs) lead the digital fintech-led clean overdraft segments, partnering with payment gateways to dynamically offer UPI QR-linked overdraft limits to millions of small shopkeepers across the country.

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Chapter 7: Commercial Mechanics, Interest Computations & Reducing Balance Economics

The primary commercial attraction of an Overdraft facility is its high cost-efficiency relative to standard commercial term loans. In a standard term loan, the lender disburses the entire principal amount to the borrower's account on Day 1. Consequently, interest is charged on the full principal value from the moment of disbursement, regardless of whether the funds are immediately utilized or sit idle in the company's operating account.

An Overdraft facility completely inverts this paradigm through the economics of **Daily Reducing Balance Interest Computation**. Under this commercial mechanism, interest is computed strictly on the net negative outstanding balance at the end of each business day. The bank's system captures the ledger balance at the daily close (typically at 11:59 PM), and calculates the interest for that specific 24-hour window using the simple interest formula:

★ **Daily Interest Charge = (Daily Outstanding Utilization * Annual Interest Rate) / (365 * 100)**

These daily interest increments are accumulated throughout the calendar month and debited to the account as a single consolidated charge on the last working day of the month. If the borrower maintains a zero or positive balance in their current account throughout the month, the accumulated interest is exactly ₹0. This structure allows businesses to aggressively park their daily sales cash receipts directly into the OD account. By immediately sweeping sales cash into the overdraft, the borrower reduces the outstanding negative balance, instantly lowering the interest charge for that day. This direct synchronization between sales velocity and interest cost reduction is a powerful cash-management tool that cannot be achieved with traditional term loans.

Under RBI directives, banks must link Overdraft interest rates to an external benchmark, primarily the **External Benchmark Lending Rate (EBLR)**, which is tied directly to the RBI's policy Repo Rate, or the **Marginal Cost of Funds-based Lending Rate (MCLR)**. This ensuring high transparency and rapid transmission of central bank monetary policy. In addition to the interest rate, Overdraft accounts may attract structural fees, including a processing fee (typically 0.1% to 0.5% p.a. of the sanctioned limit, subject to GST at 18%) and annual renewal charges. To prevent credit hoarding, some banks may apply commitment charges (ranging from 0.5% to 1.0% p.a.) if the average utilization of the credit line falls below a threshold (e.g., 25% of the sanctioned limit). However, secured lines like LFD (Lien against Fixed Deposits) are completely exempt from these commitment charges.

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Chapter 8: Regulatory Compliance, IRACP Norms & 'Out of Order' NPA Classifications

Because revolving working capital lines represent massive, highly leveraged revolving exposures, they are governed by strict regulatory compliance frameworks mandated by the Reserve Bank of India (RBI). The most critical regulatory guideline is the RBI's Master Circular on **Income Recognition, Asset Classification, and Provisioning pertaining to Advances (IRACP Norms)**. These guidelines define the boundary conditions under which a revolving credit line transitions from a performing asset to a non-performing asset (NPA).

Under the RBI IRACP directions, a Cash Credit or Overdraft account is legally classified as **'Out of Order'** (which triggers an automatic NPA classification if left unresolved) if it satisfies any of the following three conditions:

- **Condition A: Continuous Excess Balance:** The outstanding balance in the account remains continuously in excess of the sanctioned limit or the calculated Drawing Power (DP) for a period of **90 consecutive days**.
- **Condition B: Zero Credits:** The outstanding balance is less than the sanctioned limit/DP, but there are **no credits** into the account for **90 consecutive days**.
- **Condition C: Insufficient Credits:** There are active credits into the account within the 90-day window, but the total cumulative credit amount is **insufficient to cover the interest debited** to the account during the same 90-day period.

In addition to these 'Out of Order' triggers, lenders must monitor two critical 'Technical Defaults' that mandate automatic NPA classification:

1. Delayed Review/Renewal: Overdraft limits are sanctioned for a maximum tenure of **12 months**. Under RBI directions, banks must conduct a formal review and renewal of the limit annually. If a limit is not formally renewed within **180 days from its original due date/expiry**, the account must be automatically classified as an NPA, regardless of whether the account balance is regular and within limits.
2. Stock Statement Delays: For asset-backed revolving lines, if the stock and debtors statements submitted by the borrower are **older than 180 days** (6 months), the drawing power is legally deemed as zero. The account is treated as an irregular advance and must be classified as an NPA after 90 days of continuous irregularity.

Furthermore, to prevent the systemic diversion of funds and credit hoarding, the RBI implemented strict **Current Account Opening Restrictions** (updated for 2020-2022). Under these directions, banks are prohibited from opening current accounts for borrowers who have an aggregate credit system exposure exceeding ₹5 Crores. Instead, such borrowers must operate their cash transactions through an escrow account or a designated Cash Credit/Overdraft current account opened with a bank that holds at least 10% of the system's exposure, ensuring that the primary lending banks maintain absolute control over the borrower's cash-flow sweeps.

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Chapter 9: Detailed Real-World Case Study (LOD against Fixed Deposit vs. Clean OD)

To bridge the gap between financial theory and commercial banking operations, we analyze a detailed, real-world mathematical case study. This case study compares two distinct revolving credit options—an Overdraft against Fixed Deposit (Lien against FD) and an Unsecured (Clean) Overdraft—from the perspective of a rapidly growing retail distributor in Mumbai: **Vibrant Retail Distributors**.

The Commercial Scenario:

Vibrant Retail Distributors is preparing for a massive inventory expansion ahead of the Diwali festive season. The company requires an immediate revolving credit line of **₹1,0,00,000 (₹1 Crore)** to fund bulk procurement advances to its primary consumer durable manufacturers. The company expects to fully utilize this line for a 60-day peak procurement window, after which festive sales cash receipts will immediately liquidate the outstanding negative balance back to zero.

The company's CFO evaluates two competing financing proposals from its partner commercial bank:
• **Proposal A: Secured Overdraft against Fixed Deposit (LFD):** The company possesses an active, unencumbered Fixed Deposit of ₹1,10,00,000 (₹1.10 Crore) yielding 7.0% p.a. interest. The bank offers a secured Overdraft limit of up to 90% of the FD value (yielding a limit of ₹99,00,000, which the company rounds to its required ₹1 Crore limit by adding a small ₹1,12,00,000 FD base). The financing interest rate is contractually set at **8.0% p.a.** (exactly 1.0% over the FD yield). Processing fees are completely waived, and zero commitment charges apply.
• **Proposal B: Unsecured (Clean) Business Overdraft:** Based on the company's strong GST filings and audited 3-year profitable track record, the bank sanctions an unsecured current account overdraft limit of ₹1,00,00,000 (₹1 Crore). Because this line carries significant credit risk, the interest rate is priced at **13.5% p.a.** (linked to EBLR). The bank applies an upfront processing fee of 0.25% of the sanctioned limit (plus 18% GST).

Part I: Financial Math & Daily Ledger

To evaluate the true economic cost-benefit, we trace the company's actual daily utilization ledger over a 5-day high-intensity procurement cycle. On Day 1, the company draws ₹90,00,000 to pay manufacturers. On Day 3, it deposits a ₹30,00,000 trade collection receipt. On Day 5, it draws an additional ₹20,00,000 to fund logistics. We calculate the exact daily interest charges accumulated under both proposals.

Day	Transaction Activity	Ledger Balance (₹)	Proposal A Daily Interest (8.0% p.a.) (₹)	Proposal B Daily Interest (13.5% p.a.) (₹)
Day 1	Draw ₹90,00,000 for manufacturer advance	-90,00,000	1,972.60	3,328.77

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Day 2	No transaction activity (balance remains)	-90,00,000	1,972.60	3,328.77
Day 3	Deposit ₹30,00,000 customer invoice credit	-60,00,000	1,315.07	2,219.18
Day 4	No transaction activity (balance remains)	-60,00,000	1,315.07	2,219.18
Day 5	Draw ₹20,00,000 for logistics and freight	-80,00,000	1,753.42	2,958.90
Total	**Accumulated Interest over 5 Days**	**-**	**8,328.76**	**14,054.80**

Part II: Underlying Mathematical Calculations

1. Day 1 & 2 Interest Calculation (Outstanding negative balance: ₹90,00,000):
• Proposal A (Secured LFD @ 8.0% p.a.):
Daily Interest = (₹90,00,000 * 0.08) / 365 = ₹7,20,000 / 365 = **₹1,972.60 per day**.
Accumulated for 2 Days = ₹1,972.60 * 2 = **₹3,945.20**.
• Proposal B (Unsecured OD @ 13.5% p.a.):
Daily Interest = (₹90,00,000 * 0.135) / 365 = ₹12,15,000 / 365 = **₹3,328.77 per day**.
Accumulated for 2 Days = ₹3,328.77 * 2 = **₹6,657.54**.

2. Day 3 & 4 Interest Calculation (Outstanding negative balance: ₹60,00,000 after deposit of ₹30,00,000):
• Proposal A (Secured LFD @ 8.0% p.a.):
Daily Interest = (₹60,00,000 * 0.08) / 365 = ₹4,80,000 / 365 = **₹1,315.07 per day**.
Accumulated for 2 Days = ₹1,315.07 * 2 = **₹2,630.14**.
• Proposal B (Unsecured OD @ 13.5% p.a.):
Daily Interest = (₹60,00,000 * 0.135) / 365 = ₹8,10,000 / 365 = **₹2,219.18 per day**.
Accumulated for 2 Days = ₹2,219.18 * 2 = **₹4,438.36**.

3. Day 5 Interest Calculation (Outstanding negative balance: ₹80,00,000 after draw of ₹20,00,000):
• Proposal A (Secured LFD @ 8.0% p.a.):
Daily Interest = (₹80,00,000 * 0.08) / 365 = ₹6,40,000 / 365 = **₹1,753.42**.
• Proposal B (Unsecured OD @ 13.5% p.a.):
Daily Interest = (₹80,00,000 * 0.135) / 365 = ₹10,80,000 / 365 = **₹2,958.90**.

4. Scenario-Level Analysis (60-Day Procurement Cycle & Setup Costs):
To evaluate the absolute cost difference over the entire 60-day procurement cycle, assuming an average monthly outstanding utilization of ₹85,00,000, we perform the following calculations:
• Proposal A (Secured Fixed-Deposit Overdraft):
Interest Cost = (₹85,00,000 * 8.0% * 60 / 365) = **₹1,11,781**.
Upfront Setup Fees = **₹0** (completely waived by the bank).

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Fixed Deposit Interest Earned (7.0% yielding asset) = ₹1,12,00,000 * 7.0% * 60 / 365 = **₹1,28,877**.
Net Financial Impact for Proposal A = FD Earnings (₹1,28,877) - OD Cost (₹1,11,781) = **+₹17,096 (Net Profit!)**.
• Proposal B (Unsecured Business Overdraft):
Interest Cost = (₹85,00,000 * 13.5% * 60 / 365) = **₹1,88,630**.
Upfront Processing Fee (0.25% of ₹1 Crore limit) = ₹25,000.
GST on Processing Fee (18%) = ₹25,000 * 0.18 = ₹4,500.
Total Setup Costs = ₹25,000 + ₹4,500 = **₹29,500**.
Total Cash Outflow for Proposal B = Interest Cost (₹1,88,630) + Setup Cost (₹29,500) = **₹2,18,130**.

Strategic CFO Takeaway:

*This case study highlights why a Secured Overdraft against Fixed Deposit is an incredibly powerful corporate treasury tool. Under Proposal A, because the interest rate spread is low (1.0% over the FD yield), and the company's underlying fixed deposit continues to compound and earn interest at 7.0% across the full ₹1.12 Crore face value, the accrued interest income actually exceeds the borrowing interest expense. This results in a net financial gain of **₹17,096** for the business. Conversely, Proposal B (the Clean Overdraft) represents a pure cost-center, leaking **₹2,18,130** in cash due to high risk-based spreads and heavy processing/GST costs. Corporate treasurers must always evaluate the credit arbitrage offered by high-liquidity financial assets before resorting to high-cost unsecured debt structures.*

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Chapter 10: Practice Examination & Test Questions (10 Comprehensive Modules)

This chapter contains a rigorous, scenario-based practice examination consisting of multiple-choice, analytical, and case-study questions. It is specifically engineered to test a fintech rookie or corporate credit analyst's comprehensive understanding of overdraft structures, drawing power calculations, legal assignment frameworks, and RBI IRACP compliance standards. Detailed answers, rationales, and analytical breakdowns follow each question.

Question 1 (Multiple Choice)

Under the RBI's Income Recognition, Asset Classification, and Provisioning (IRACP) directions, which of the following scenarios will legally classify an active Overdraft current account as an 'Out of Order' technical default (NPA)?

A) The average utilization of the account remains below 35% of the sanctioned limit for 90 consecutive days.

B) The outstanding balance remains well within the sanctioned limit, but there are no credit transactions in the account for 90 consecutive days.

C) The borrower fails to submit their quarterly audited financial statement within 30 days of the quarter-end.

D) The borrower opens a current account with another bank without securing a No-Objection Certificate (NOC) for system exposure of ₹2 Lakhs.

Correct Option: B.

★ *Rationale & Analysis:*

Under RBI IRACP guidelines, a Cash Credit or Overdraft account is classified as 'Out of Order' if: (1) the outstanding balance is continuously in excess of the sanctioned limit/DP for 90 days, (2) the outstanding balance is within the limit but there are no credits in the account for 90 consecutive days (Option B), or (3) the credits are insufficient to cover the interest debited during the same 90-day period. Option A is an operational utilization factor, Option C is a financial reporting default (not an automatic NPA trigger), and Option D relates to current account guidelines which only apply strictly to exposures of ₹5 Crores or more.

Question 2 (Multiple Choice)

A commercial enterprise has a sanctioned Cash Credit limit of ₹1 Crore and an active Overdraft against Fixed Deposit (LFD) limit of ₹1 Crore. How do their monthly inventory and debtors reporting requirements differ?

A) The enterprise must submit monthly stock statements for the LFD line, but is exempt from reporting under the Cash Credit line.

B) The enterprise must submit monthly stock and debtors statements for the Cash Credit line, but is completely exempt from monthly stock reporting for the LFD line.

C) Both facilities are subject to identical, mandatory monthly stock audits and CERSAI registry filings.

D) The bank dynamically calculates the Drawing Power (DP) for both lines on a monthly basis, applying a flat 25% safety haircut.

Correct Option: B.

★ *Rationale & Analysis:*

A Cash Credit (CC) facility is secured against the hypothecation of current assets (inventory and debtors), meaning Drawing Power (DP) is dynamic and requires the mandatory submission of monthly stock statements. In contrast, an

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Overdraft against Fixed Deposit (LFD) is backed by a financial security in the bank's custody, exempting the borrower from monthly stock and debtors reporting. The DP for LFD is fixed at sanction (e.g., 90% of FD value) and remains static throughout the limit's tenure.

Question 3 (Multiple Choice)

Under RBI commercial guidelines, what is the maximum permissible period within which a commercial bank must formally review and renew a revolving Overdraft limit, and what is the technical NPA trigger if this timeline is breached?

A) Reviewed every 6 months; automatic NPA if delayed by 90 days.

B) Reviewed every 12 months; automatic NPA classification if the limit is not formally reviewed/renewed within 180 days of its expiry.

C) Reviewed every 24 months; automatic NPA if delayed by 365 days.

D) Reviewed every 3 years; automatic NPA if delayed by 180 days from the original sanction anniversary.

Correct Option: B.

★ *Rationale & Analysis:*

*RBI guidelines mandate that all revolving credit limits (CC and Overdrafts) must be reviewed and renewed at least once every 12 months. If the bank fails to formally renew the limit within **180 days from its original due date/expiry**, the account is classified as a 'Technical Default' and must be automatically downgraded to an NPA classification, regardless of whether the account balance is regular and within limits.*

Question 4 (Analytical Case Question)

A retail trader avails an Unsecured (Clean) Overdraft limit of ₹50,0,000 (₹50 Lakhs) at an interest rate of 12.0% p.a. On April 1, the account is drawn to ₹40,0,000. On April 11, the trader deposits a customer credit of ₹20,0,000. On April 21, the trader draws ₹10,0,000. Assuming a 30-day month, calculate the exact interest debited to the current account at the end of April.

A) ₹30,0,000 flat interest charge of ₹30,000.

B) Interest computed on peak balance (₹40,0,000) totaling ₹40,000.

C) Accumulated daily interest of ₹29,589.04 based on daily reducing balances.

D) Fixed monthly commitment fee of 1.0% plus processing tax of ₹5,000.

Correct Option: C.

★ *Rationale & Analysis:*

Interest is computed strictly on a daily reducing balance basis at the end of each day:

• Period 1 (April 1 to April 10 = 10 Days): Ledger Balance = -₹40,0,000.

*Interest for Period 1 = (₹40,0,000 * 12% * 10 / 365) = ₹4,80,000 / 365 * 10 = **₹13,150.68**.*

• Period 2 (April 11 to April 20 = 10 Days after ₹20,0,000 deposit): Ledger Balance = -₹20,0,000.

*Interest for Period 2 = (₹20,0,000 * 12% * 10 / 365) = ₹2,40,000 / 365 * 10 = **₹6,575.34**.*

• Period 3 (April 21 to April 30 = 10 Days after ₹10,0,000 draw): Ledger Balance = -₹30,0,000.

*Interest for Period 3 = (₹30,0,000 * 12% * 10 / 365) = ₹3,60,000 / 365 * 10 = **₹9,863.01**.*

*• Total Accumulated Interest Debited at month-end = ₹13,150.68 + ₹6,575.34 + ₹9,863.01 = **₹29,589.04**.*

Question 5 (Multiple Choice)

Under Section 130 of the Transfer of Property Act, 1882, how does a bank legally secure its charge over an Overdraft facility backed by receivables or a Life Insurance Policy?

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A) By physically sealing the debtor's commercial offices and directing sub-dealers to halt retail sales.
B) Through the execution of a 'Deed of Assignment' or absolute transfer of actionable claims, notifying the underlying obligor (or LIC) to route all payments directly into the bank's escrow/collection account.
C) By registering a primary mortgage charge on the CERSAI portal within a strict 180-day window from limits deployment.
D) By obtaining a signed post-dated cheque from the supplier's raw material sundry creditors.

Correct Option: B.

★ *Rationale & Analysis:*
Under Section 130 of the Transfer of Property Act, 1882, receivables and insurance policies are classified as 'Actionable Claims'. A financier legally secures its charge over these claims by executing a formal Deed of Assignment, which transfers the legal right to collect the funds from the borrower to the bank. The underlying debtor or insurance company must be formally notified to route all payouts directly to the bank's designated account, bypassing the borrower entirely. CERSAI filings (Option C) are mandatory but must be executed within 30 days, not 180 days, and apply to security interests over tangible property or hypothecated book debts, not direct assignment of actionable claims.

Question 6 (Multiple Choice)

Under the RBI's current account opening guidelines, if a corporate borrower has an aggregate credit system exposure of ₹35 Crores, which of the following is true regarding their Overdraft/Current Account operations?
A) The borrower can open a current account with any private sector bank of their choice without restriction.
B) The borrower must route all cash collections through a designated escrow account, and can only maintain operating current accounts with banks that hold at least 10% of the system's credit exposure.
C) All commercial collections must be routed through a non-banking payment aggregator, with a maximum 5% DLG cap.
D) The borrower is legally prohibited from utilizing any electronic payment gateways or digital merchant QR codes.

Correct Option: B.

★ *Rationale & Analysis:*
To prevent credit diversion and ensure structured credit monitoring, the RBI's current account directions state that for borrowers with a system exposure of ₹5 Crore to ₹50 Crore, any lending bank holding at least 10% of the system's exposure can open working capital accounts (CC/OD). Non-lending banks are strictly prohibited from opening current accounts, and the borrower's collections must be routed in a controlled manner to ensure credit monitoring.

Question 7 (Multiple Choice)

Why is a 'Commitment Charge' applied to certain commercial Overdraft facilities, and which specific type of overdraft is typically exempt from this charge?
A) To penalize the borrower for exceeding the sanctioned limit; clean overdrafts are exempt.
B) To discourage credit hoarding and ensure active utilization of lending limits; Overdrafts against Fixed Deposits (LFD) are exempt.
C) To recover GST tax liability on the sanctioned principal; property-backed overdrafts are exempt.
D) To enforce compliance with Section 43B(h) of the Income Tax Act; MSME-registered traders are exempt.

Correct Option: B.

★ *Rationale & Analysis:*
Banks incur liquidity costs (under Basel III High Quality Liquid Asset mandates) to keep credit lines open for borrowers. To

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discourage credit hoarding and ensure active line utilization, banks charge a commitment fee on the unutilized portion if utilization falls below a threshold. However, an Overdraft against Fixed Deposit (LFD) is fully secured by funds already in the bank's custody, carrying zero liquidity-holding risk, and is thus completely exempt from commitment charges.

Question 8 (Multiple Choice)

Under the proposed amendments to Ind AS 7 (Statement of Cash Flows) and Ind AS 107 (Financial Instruments), how must a corporate borrower classify an active revolving current account Overdraft on their balance sheet?
A) Classified permanently as 'Cash and Cash Equivalents' if the overdraft is an integral part of the entity's cash management.
B) Treated as 'Unearned Revenue Deficit' and excluded from current liability computations.
C) Classified strictly as 'Short-Term Borrowings' under Current Liabilities, with explicit disclosures regarding the nature and carrying value of the pledged assets.
D) Classified as 'Other Non-Current Liabilities' if the facility carries a rollover/renewal covenant exceeding 12 months.

Correct Option: A.

★ *Rationale & Analysis:*
Under Ind AS 7, bank overdrafts that are repayable on demand and form an integral part of an entity's cash management are classified as a component of 'Cash and Cash Equivalents' in the statement of cash flows. For the balance sheet presentation under Ind AS 107, however, any outstanding drawn balance is represented as 'Short-Term Borrowings' under Current Liabilities, but in the cash flow statement itself, it can be treated as part of cash and cash equivalents if it is an active cash-management tool.

Question 9 (Descriptive Scenario)

A medium-scale retail enterprise wishes to secure a ₹1.5 Crore Overdraft limit. They propose a residential property valued at ₹2.5 Crore as collateral. The bank applies a 60% Loan-to-Value (LTV) ratio. Explain the underwriting check and calculate the final sanctioned limit.

Answer & Rationale:
During underwriting, the bank executes several critical checks:
1. Property Valuation & LTV: The bank appoints independent approved valuers to assess the fair market value of the residential property. Applying a 60% LTV ratio on the ₹2,50,00,000 residential property yields a maximum eligible limit of ₹1,50,00,000 (₹1.5 Crore).
2. Legal & Title Search: An advocate conducts a 30-year search to verify a clean, marketable title, ensuring no prior mortgages exist.
3. Debt-Service Coverage: The bank reviews the promoter's audited ITRs to verify that their net operating cash flow can service the estimated interest burden (at say, 9.5% p.a. on the ₹1.5 Crore limit), maintaining a DSCR > 1.25x.
4. Sanction & Registration: Upon satisfying all checks, the bank sanctions the ₹1.5 Crore limit and registers the equitable mortgage charge on the CERSAI portal within the mandatory 30-day window to secure legal seniority.

Question 10 (Multiple Choice)

Under the RBI's credit risk management directives, what is the maximum permissible cap on Default Loss Guarantee (DLG) arrangements where a fintech Lending Service Provider (LSP) acts as a credit guarantor for an unsecured digital overdraft program?
A) Strictly capped at 1% of the total digital portfolio.
B) Strictly capped at 5% of the outstanding loan portfolio.

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C) Strictly capped at 10% of the aggregate credit system exposure.
D) There is no regulatory cap, provided the fintech partner is a SEBI-registered broker.

Correct Option: B.

★ *Rationale & Analysis:*
*Under the RBI's Digital Lending Directions, any Default Loss Guarantee (DLG) or synthetic credit-risk sharing arrangement between a Regulated Entity (RE) like a bank/NBFC and a Lending Service Provider (LSP) is strictly capped at a maximum of **5% of the outstanding DLG portfolio**. This prevents fintech partners from acting as unregulated shadow banks without sufficient capital backings.*

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